Research Briefing | UK

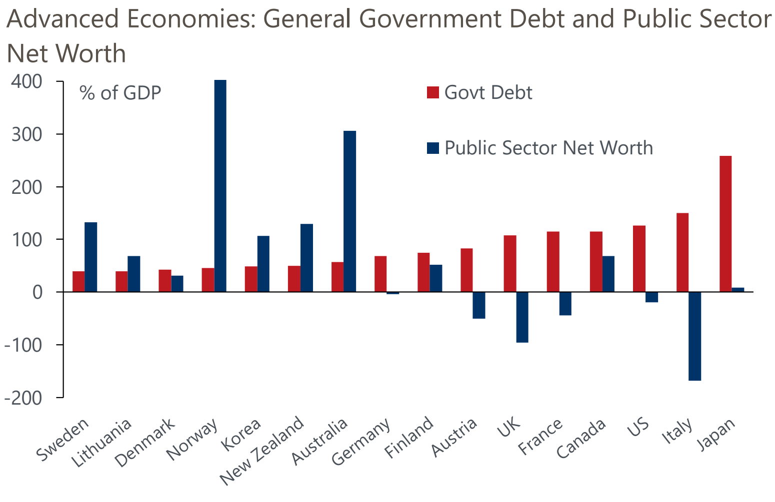
How to improve the fiscal rules

- **Reforms to the UK's fiscal framework would help put the public finances on a more sustainable path and provide a better platform for a much-needed strategy to improve the economy's supply-side, in our view.**
- **Specifically, we think the UK should have three fiscal rules: to improve public sector net worth over a five-10-year horizon; to aim for a cyclically adjusted current balance each year; and to cut public debt on a three-year horizon.**
- **To reduce undesirable feedback from monetary policy to fiscal policy, the debt target should exclude effects of transfers from the Bank of England's asset purchase facility. There should also be an escape clause to allow more time to achieve the deficit and debt targets if monetary policy is seriously constrained by the effective lower bound.**
- **In addition, the OBR should extend its forecast horizon to 10 years to allow a better assessment of the longer-term impact of supply-side policies, including public investment, and introduce a formal 'yellow card' scheme to highlight persistent slippage from the fiscal plans.**
- **Changes along these lines would not remove the need to implement further fiscal tightening to prevent public debts from trending higher. But they would help ensure medium-term fiscal sustainability, while allowing more scope to lift public investment as part of a comprehensive strategy to lift the UK's potential growth.**

Like a rising number of countries, in recent decades the UK has introduced fiscal rules and set up an independent fiscal council – the Office for Budget Responsibility – to reinforce its commitment to fiscal sustainability. However, the conditions for maintaining fiscal sustainability have become more difficult, with high public debts, higher interest rates, low potential growth, and long-term challenges from population ageing and climate change.

What's more, recent experience suggests that the design of the existing fiscal rules does not adequately allow for interactions between the fiscal targets and monetary policy, as well as risks that public debt ratios will ratchet upwards because of unexpected major adverse supply shocks. Against this backdrop, and the prospect that a change of government might lead to a reset, here we examine the shortcomings of the current fiscal rules and how to fix them.

Chart 1: The UK's public sector balance sheet is relatively weak by international standards



Sources: Oxford Economics / Haver Analytics

Michael Saunders - Senior Economic Advisor - msaunders@oxfordeconomics.com

The fiscal rules at present

The UK was an early adopter of fiscal rules. As an EU member, the UK signed up to the standard EU fiscal rules for debt and deficits in 1992. It also introduced national fiscal rules in 1997 (legislated in 1998): first, a balanced budget rule (BBR) to balance the current budget (i.e., fiscal deficit excluding investment) over the cycle, and second a debt rule (DR), that net public debt should be less than 40% of GDP.

Since then, the DR and BBR have been changed many times, especially since 2010. The BBR has alternated between the current balance and the overall deficit (sometimes cyclically adjusted), while the horizon for the DR and BBR targets has been moved and extended. An expenditure rule (ER) was introduced in 2014 (legislated in 2015), covering part of welfare spending. The government also briefly (2020 and 2021) had an ER that net public investment should not exceed 3% of GDP, and in 2020 had a rule that debt interest should not exceed 6% of revenues.

While useful in underpinning credibility, one weakness of the first-generation fiscal rules was that compliance was based on the government's own fiscal forecasts, with no independent assessment. This led to an optimism bias in forecasts. To correct this, the OBR, an independent non-partisan fiscal council, was set up in 2010 to forecast the fiscal outlook and assess compliance with the fiscal rules.

Table 1: UK Fiscal Rules since the late 1990s

	Deficit Rule (BBR)	Debt Rule (DR)	Expenditure Rule (ER)
1998	Current budget in balance over cycle	Debt < 40% of GDP	
2010	Deficit to fall each year, halve by 2013/14	Debt ratio to fall in 2015/16	
2010	Cyc adj current budget in balance five years ahead	Debt ratio to fall in 2015/16	
2015	Cyc adj current budget in balance three years ahead	Debt/GDP to fall each year	Welfare cap
2015	Zero fiscal deficit by 2019/20	Debt/GDP to fall each year	Welfare cap
2016	Cyc adj deficit below 2% of GDP by 2020/21	Debt/GDP to fall in 2020/21	Welfare cap
2020	Current budget in balance three years ahead		Welfare cap. Public investment not above 3% of GDP, debt interest < 6% of revenues
2021	Current budget in balance three years ahead	Debt/GDP to fall three years ahead	Welfare cap. Public investment not above 3% of GDP
2022	Deficit below 3% of GDP five years ahead	Debt/GDP to fall five years ahead	Welfare cap

Source: Oxford Economics

The UK currently has three fiscal rules, set by the government:

- A primary DR target for public sector net debt (excluding the Bank of England) to fall in the fifth and final year of the forecast (currently 2027/28).
- A supplementary BBR target for borrowing to be below 3% of GDP in the fifth year of the forecast.
- An expenditure rule (ER) for welfare spending (excluding the state pension and payments closely linked to the economic cycle) to be contained within a predetermined cap and margin set by the Treasury.

The broad structure of the UK's current fiscal rules (DR, BBR, and ER) is similar to many other countries. In all, 105 countries have fiscal rules, and the most common setups are DR+BBR and DR+BBR+ER (like the UK). Roughly half the countries with fiscal rules have a fiscal council (like the OBR). Like many countries, the UK fiscal rules include an escape clause that the targets can be suspended in the event of a major shock to the economy – the rules were suspended during the 2008-2009 global financial crisis and again during the pandemic.

This framework of fiscal rules and OBR monitoring has become an essential part of the UK economic policy framework, as highlighted by the severe market reaction when former Prime Minister Liz Truss tried to sidestep it during her brief premiership in 2022. But, while the framework is necessary, the current setup has several shortcomings.

Seven failings of the UK's fiscal rules

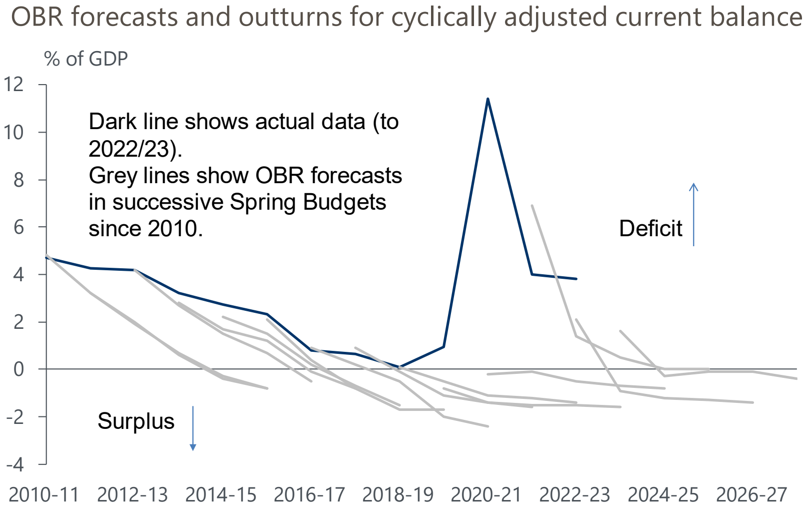
In general, fiscal rules should be designed to achieve the key aim of ensuring fiscal sustainability and inter-generational fairness while not damaging the economy, and preferably helping to promote longer term objectives such as higher potential growth and the transition to net zero. This requires the rules be medium-term, durable, comprehensive, countercyclical, not affected by temporary or erratic factors, and include a correction mechanism. Compared to that ideal, the UK's current, second-generation framework has several major weaknesses.

1. Short on sustainability

The current fiscal rules fail to achieve their key task of ensuring that fiscal policy is on a sustainable path. In particular, the rolling five-year targets for the DR and BBR never actually require the government to reduce the deficit below 3% of GDP or to lower the public debt ratio. They simply require the government to state it intends future fiscal restraint, such that the OBR projects these targets will be met five years ahead. The government does not need to tighten fiscal policy as those years approach. It can simply roll forward its intention to cut the deficit and reduce the debt ratio to a horizon that remains five years ahead, while allowing the deficit to stay high and the debt ratio to rise steadily. There is no correction mechanism for repeated fiscal slippage.

For example, since 2010 the UK has had various BBR targets for the cyclically adjusted current balance, overall fiscal deficit, and cyclically adjusted deficit. The OBR forecasts, based on government plans, always projected they would be met in future years. But in practice, over that period, the UK has never actually achieved any of them. The cyclically adjusted current balance has been in deficit each year (although it was close to balance in 2018/19); the UK did not achieve a zero fiscal deficit by 2019/20; the cyclically adjusted deficit did not fall below 2% of GDP by 2020/21; and the current budget will not be in balance this year. As the IMF noted in 2021, the UK has tended to see a pattern "with deficit and debt ultimately evolving somewhat independently of targets." OBR analysis suggests that this fiscal slippage is partly because the government has tended to increase its spending plans as they become more near term.

Chart 2: The fiscal targets are always met in the forecasts, but so far never in the actual outturns



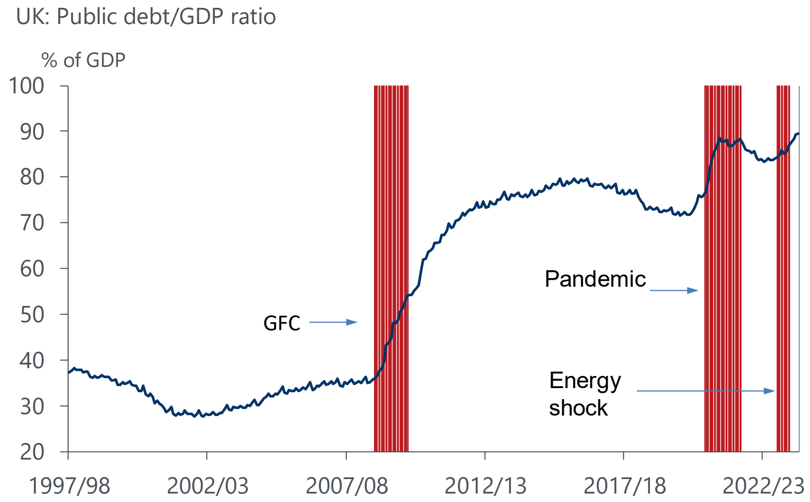
Sources: Oxford Economics/Haver Analytics

The OBR's latest forecast, published in March, is an example of the weakness of basing the fiscal rules solely on rolling five-year forecasts. That forecast projected the debt ratio will rise in each of the next four years, before falling slightly five years ahead (conditioned on future fiscal tightening, including higher petrol taxes and low spending growth). That met the debt rule but would have left the debt ratio five years ahead above the current level. And based on recent practice it's highly questionable whether the current government would deliver that future fiscal tightening rather than simply roll the horizon forward again.

In addition, fiscal rules that at best stabilise or reduce slightly the public debt ratio in normal times leave inadequate fiscal buffers for adverse shocks. Since the UK's fiscal rules were introduced roughly 30 years ago, the UK has faced three major shocks (the GFC, pandemic, energy price surge) that have jointly added about 60ppts to the debt ratio (partly during periods when the fiscal rules were suspended). Hence, public debt has risen sharply even while the government generally met its fiscal rules outside these crises.

The frequency of major shocks probably has been greater than was expected when the fiscal rules were developed. If this frequency of shocks continues, then (as the OBR has noted) the UK needs to have a significantly falling debt ratio outside crises. This is to avoid a steady ratcheting up of public debt over time and ensure there is adequate fiscal space to cope with whatever future shocks might occur.

Chart 3: Even with the fiscal rules, major shocks have caused public debts to rise sharply



Sources: Oxford Economics/Haver Analytics

2. Discourage capital investment

The fiscal rules excessively discourage capital investment, even if this harms the fiscal position and potential growth over the long term, while failing to achieve inter-generational fairness. One problem is that the OBR's forecast horizon only extends five years ahead, and full returns from public investment often take longer to emerge. Hence, the targets constrain investment even if it would be financially viable (i.e., a rate of return comfortably above government bond yields) over a longer horizon. The other problem is that the latest version of the BBR target makes no distinction between deficits caused by government consumption and those caused by investment that yields long-term gains. The split between capital and current spending does not always match the split between spending that does and does not benefit future generations. But it is a reasonable and objective approximation. Prior versions of the BBR target that used the current balance (i.e., fiscal deficit excluding investment) were superior in this regard.

Related to this, the DR incentivises governments to succumb to 'fiscal illusions', for example selling public sector assets to repay debt, even if this has adverse long-term effects on fiscal health beyond the forecast horizon.

The UK has long had relatively low levels of public investment compared to most other advanced economies, and UK public sector net worth (total assets less liabilities) is deeply negative and among the weakest of any of the advanced economies. Low public investment has probably contributed to the UK's low potential growth. As we noted early this year, there is abundant evidence (see here, here, and here) that the long-term economic returns from public investment in general are relatively high – above those for increases in government consumption and transfers, or tax cuts. Public investment is also bound to be an integral part of a net-zero carbon strategy.

3. Lacking incentives to tackle long-term problems

The OBR's five-year forecast horizon also provides little incentive for the government to tackle long-term issues such as population ageing and climate change, or to implement supply-side reforms that lift potential growth and hence improve the fiscal position over a longer time frame. As with public investment, such measures may involve upfront costs, while gains often take longer than five years to emerge. A longer-term framework would allow these gains to be better recognised.

4. No escape clause for the ELB

The rules were set on the premise that fiscal policy did not need to stabilise the economy because monetary policy always could. This premise is reasonably valid most of the time, but the rules lack an escape clause to allow a different policy response if the BoE policy rate is at or very close to the effective lower bound (ELB). Under those conditions, monetary policy has limited scope to provide further stimulus, especially if long-term rates are also close to the ELB.

During 2010-2019, the policy response to the ELB problem was mainly through asset purchases. If such circumstances were to recur and stimulus is again needed to prevent inflation undershooting the target, a more balanced approach between fiscal policy and asset purchases might be more appropriate. One could argue that the repeated fiscal slippage of the 2010s represented a sort of informal ELB escape clause. But it would be better to formalise the response to the ELB within the fiscal rules and to tilt the fiscal response to investment, rather than erode the credibility of those rules through repeated slippage.

5. Adverse effects from the links between asset purchases and the debt rule

The link from losses on the gilts held under the Bank of England's asset purchase facility (APF) from prior asset purchases to the government's ability to hit the DR may have adverse effects.

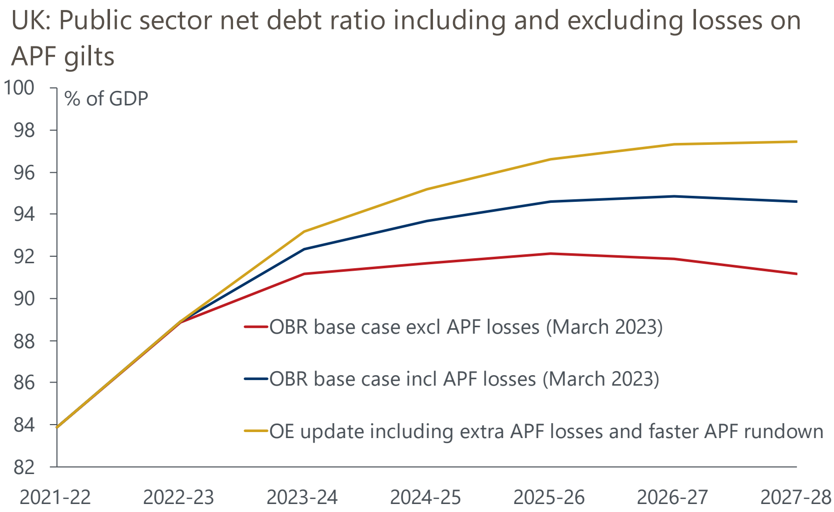
These losses partly reflect the running yield loss on the APF's gilt holdings (financed by reserves paying Bank Rate), which adds to the deficit and debt totals. In addition, when the gilts are sold or redeemed below purchase price, the resultant losses increase the debt total used for the DR.

In March, the OBR assumed the stock of APF gilts would fall by £80bn per year, and, using the prevailing gilt prices and yield curve, forecast that APF losses would add an average of £20bn per year to public debt during 2023/24-2027/28, lifting the debt ratio by 3.4ppts – an average of 0.7ppts per year. This materially affected their forecast for the debt ratio. Excluding these losses, the ratio would fall steadily from the fourth year of the forecast. But including them would mean only a slight fall in the fifth year.

Since March, the market rate path has risen further, gilt prices have fallen further, and the BoE has indicated that APF rundown will rise to £90-100bn per year (this will be decided at the September MPC meeting). We estimate that these changes will add an average of £15bn per year to APF losses over 2023/24-2027/28 (so they will average about £35bn per year) and add a further 2.9ppts to the public debt ratio in 2027/28.

In total, APF losses will add an average of 1.25ppts per year to the debt ratio during 2023/24-2027/28 and, ignoring any other developments since the March forecast, cause the debt ratio to rise each year. In this case, the government might face pressure to tighten fiscal policy further when the OBR updates its forecasts in the Autumn Statement later this year, to ensure a falling debt ratio five years ahead (although note that the horizon for assessing the DR will roll forward to 2028/29). The latest fiscal data provide an early taste of this effect, with APF transfers in July roughly 50% above the OBR's forecast made early this year.

Chart 4: Losses on gilts held by the APF will markedly affect the debt ratio



Sources: Oxford Economics/Haver Analytics

This possible strong feedback from actions by the monetary policy committee to fiscal policy is undesirable. It creates powerful incentives for the Treasury to influence MPC decisions on the pace of APF rundown to meet its fiscal rules, thereby potentially eroding the MPC's independence. For example, if APF rundown were to be faster in the next four years and then stop in the fifth year, this would lift the debt ratio in the first four years but make it much easier to achieve the fiscal target of a falling debt ratio in year five. The risk that APF transfers might complicate fiscal policy also might make the Treasury reluctant to sanction future asset purchases, even if these are justified under the MPC's remit.

Moreover, fiscal policy should be guided more by medium-term fiscal sustainability trends rather than such one-off effects. The APF losses represent a one-off rise in public debts, akin to the other fiscal costs of the pandemic and the GFC. Their effect on the change in the debt ratio is temporary and will fade (perhaps just after the OBR's five-year horizon) as the stock of APF gilts shrinks and APF sales end. The appropriate fiscal response is to gradually reduce debt levels outside such crises – i.e., fix the roof when the sun is shining – rather than (as might be required under the current fiscal rules) immediately and fully offset these costs with additional fiscal consolidation.

6. The expenditure rule misses its target

The UK's ER rule is performative and aimed at underpinning a political preference to limit welfare spending, rather than an anchor for fiscal sustainability. It covers only about half of welfare outlays and just 12%-13% of total government spending. It does not constrain aggregate spending, and a higher level of welfare spending, appropriately funded through taxes or cuts elsewhere, would not threaten fiscal sustainability. What's more, it has been frequently changed. As the OBR has said "it is not clear that the welfare cap has any meaningful impact on spending plans and outcomes".

7. Too many adjustments weaken credibility

The government has frequently changed its fiscal rules, and it appears that the government has chosen to adjust the fiscal rules to meet the latest forecast, rather than adjust fiscal policy to meet the rules. These repeated changes weaken the credibility of the fiscal rules as an anchor for fiscal sustainability.

How to improve the fiscal rules

Several studies have made useful suggestions for third generation fiscal rules (see here, here, and here). The broad aim is to make the fiscal rules more rigorous in ensuring fiscal sustainability and more durable, while also making them more flexible for investment that is financially viable. It's also useful to learn from the experience that some issues – including the major fiscal costs of crises, ELB constraints on monetary policy, and the fiscal consequences of large-scale asset purchases and sales – have been more important than might have been expected 10-20 years ago.

Our suggestions, drawing in part on those studies, are:

- The government should aim for a balance or surplus on the cyclically adjusted current balance (CACB), the deficit excluding public investment (as well as public sector banks), in each year. This would allow borrowing to fund investment. But, by removing the rolling five-year horizon, it would require policies to be in place to meet the target in the near term rather than (as now) rely on a weak commitment to meet it in the distant future. A valid alternative would be to aim for a CACB two or three years ahead and thereafter: a short enough horizon to ensure it actually constrains policy but allowing some flexibility from year to year. In any case, if a CACB target were introduced at a time when the CACB was in a significant deficit, then it might make sense to aim for a return to balance over two-three years.
- Public debt ratio to fall by the third year of the forecast (and thereafter). Again, the shorter horizon aims to ensure that any measures needed to achieve the DR are not postponed to the distant future, to establish a coherent link between the government's fiscal plans and the fiscal rules.
- The public debt measure used for the DR should exclude effects of transfers to and from the APF. This would be consistent with the approach that the fiscal rules were suspended during the pandemic and GFC (which is when most of the asset purchases were made), to allow appropriate decisions to support the economy in such extraordinary circumstances.
- The welfare cap should be dropped.
- The OBR should extend its forecast horizon to 10 years ahead (i.e., well beyond the horizon at which the DR and BBR targets need to be met) to show whether existing policies will achieve these targets on a sustained basis (using, as currently done for the latter part of its five-year horizon, stated tax plans and assumptions for future spending growth). This would enable better recognition of the gradual effects of supply-side policies – including public investment – on potential growth and hence on the fiscal outlook. It would also ensure greater focus on even longer-term issues such as demographics and climate change as they become near-term realities.
- The focus of balance sheet measures should widen. As well as a debt rule, the government should also have a medium-term target to improve public sector net worth (PSNW) as a share of GDP, perhaps five- and 10-years ahead.
- There should be an escape clause relating to periods when monetary policy is constrained by the ELB. One possibility in such cases would be to prioritise the net worth aim and put less emphasis on the DR, while also allowing a multi-year return to balance on the current budget. Since gilt yields would (by definition) be very low in such a scenario, this would probably allow a significant rise in public investment, helping lift the economy out of the ELB trap while also yielding supply-side gains.
- The OBR should have a formal 'yellow card' procedure, whereby it can flag repeated failures by the government to stick to its fiscal plans.
- The government should refrain from tinkering with its rules from year to year. A reasonable approach might be to review them regularly, say every five years or so (i.e., within a normal election cycle). Such a review could include input from the Treasury Select Committee and external experts to establish a more durable and cross-party consensus.

A PSNW target would need to be carefully specified. The IMF produces PSNW figures that are useful for cross-country comparisons at a specified date. However, they are too volatile to use as a target from year to year. This is because they measure government debt at market value rather than nominal value, and hence PSNW can fluctuate sharply depending on whether government debt prices are falling (lifting PSNW) or rising (cutting PSNW). For example, on this measure, the UK's PSNW improved massively in 2022 – by 37ppts of annual GDP – because gilt prices fell sharply.

The OBR and ONS also produce UK PSNW measures. Both count government debt at nominal rather than market value, and hence are less volatile than the IMF series. The OBR figures include unfunded public pension liabilities (like the IMF series), whereas the ONS figures do not. Either would do as a PSNW target, but the wider nature of the OBR measure means it is probably preferable. A PSNW target should be framed over several years rather than simply for the year ahead, because values of public sector assets can vary from year to year and to appropriately measure the effects of multi-year investment programmes.

Some might argue that output gap estimates are too uncertain to form the basis for a fiscal target. However, while there is some inevitable uncertainty about output gap estimates, in practice they are an unavoidable part of any fiscal forecast, regardless of whether the target is based on the cyclically adjusted deficit or not, and regardless of whether it is based on the deficit next year or five years ahead. This is because the OBR's fiscal projections will always depend on its growth forecasts, and these in turn will be driven by the starting point for the output gap, an estimate of potential growth, and the OBR's usual assumption that the output gap will close over its five-year forecast horizon. The advantage of using the cyclically adjusted deficit as the target measure is that it allows the target horizon to be set much shorter than currently (five years) and hence makes the fiscal rules more binding, thereby strengthening their role as an anchor for fiscal stability.

Will these changes happen?

A major review of the UK's fiscal rules may occur after the next election. Shadow Chancellor Rachel Reeves has said that if Labour wins the next election, they will "put in place fiscal rules that will bind the next Labour government to ensure we always spend wisely and keep debt under control, so that we have the means to transform schools, hospitals, and communities, and pay for investment in the new industries and jobs that our country desperately needs." The suggestions above would be consistent with those goals.

What would the effects be?

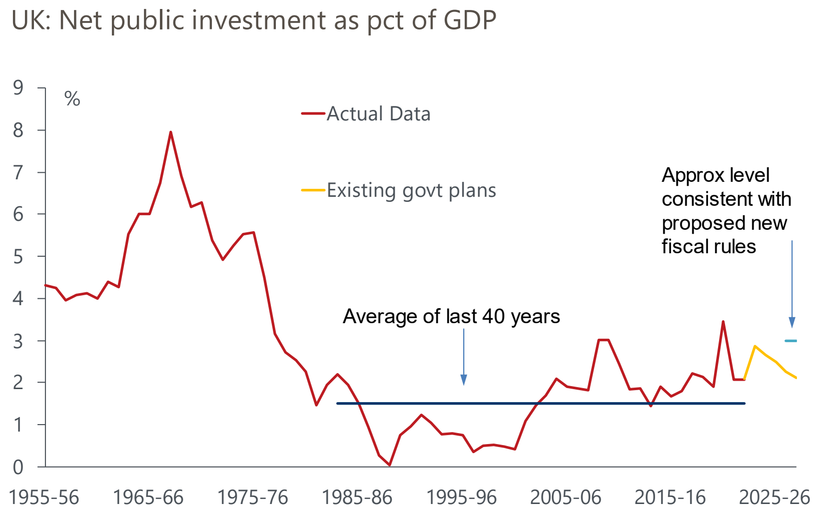
A target to achieve a cyclically adjusted current balance each year (or two-three years ahead) would allow cyclical stabilisers to work as normal during a downturn. The three-year horizon to achieve a lower debt ratio would achieve a similar effect. The rules above would not have required greater fiscal tightening in the early 2010s, because the ELB over-ride would have been active. The fiscal rules would automatically loosen when the policy rate is at the ELB but revert to normal and become more constraining when, as now, the ELB is more distant.

Our proposed fiscal targets would not require more fiscal tightening in the next few years than is built into the government's existing plans. According to the OBR's forecast early this year, the UK was already on track to meet the targets described above – zero cyclically adjusted current budget deficit next year (2024/25), falling debt/GDP ratio (excluding APF) three years ahead from now (2026/27), rising PSNW over time – based on the existing fiscal plans. But the targets would require that tightening to be delivered, rather than (as in recent years) simply rolled forward to the five-year horizon.

Over the medium term, these targets would shift the balance between current and capital spending. They would require the current balance to be tighter than the average of recent decades. The UK last achieved a cyclically adjusted current balance during 1999/2000-2001/02, although it was close (deficit below 1% of GDP) during 2016/17-2019/20. At the same time, these targets would allow a sustained rise in public investment above recent levels and current plans.

If nominal GDP growth runs at 3.5% (the OBR forecast for coming years), and the current budget is balanced, then (allowing for an average impact of other factors that affect the debt ratio), the debt/GDP ratio will fall provided net public investment does not exceed about 3% of GDP. Or, if net public investment is set at 2.5% of GDP, these rules would generate a more marked drop in the debt ratio and thereby create greater fiscal space to respond to future crises. By contrast, net public investment has been below 3% of GDP in 37 of the last 40 years (averaging 1.5% of GDP over that period), and on the existing fiscal plans will be about 2% of GDP in coming years.

Chart 5: Reforms to fiscal rules would allow higher public investment



Sources: Oxford Economics/Haver Analytics

A sustained shift to higher public investment would be a key ingredient in a broader strategy that aims to lift the UK's low potential growth rate, alongside a greater emphasis on STEM subjects in education, improved childcare, further increases in the retirement age, reform of planning rules, closer trade links with the EU, and a stronger institutional focus within government on supply-side issues. A comprehensive strategy such as this is badly needed. Currently, the UK's low potential growth implies weak growth in living standards and leaves fiscal policymakers with an invidious choice between very low increases in real public spending per head, a rising tax burden or unsustainable fiscal trends. Ultimately, it will only be through higher potential growth that the UK can escape this fate.